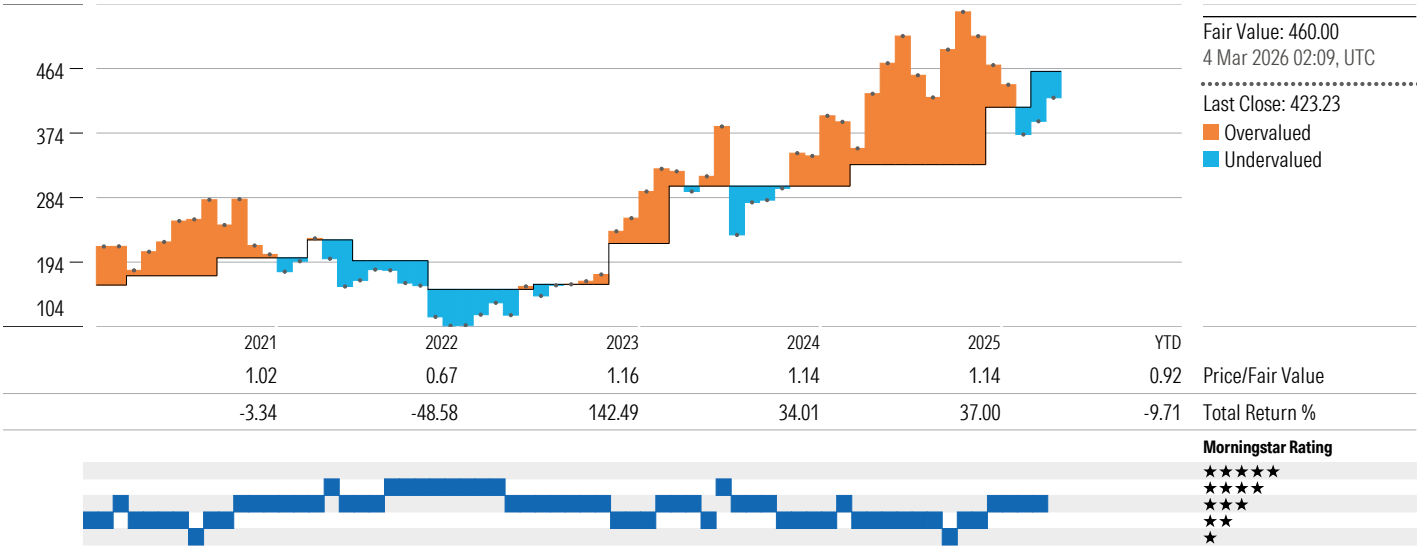
CrowdStrike Holdings Inc Class A CRWD ★★★ 7 Apr 2026 21:47, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
423.23 USD 7 Apr 2026	460.00 USD 4 Mar 2026 08:09, UTC	0.92	107.52 USD Bil 8 Apr 2026	Wide	Large Growth	Very High	Exemplary	7 Apr 2026 05:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
	1.02	0.67	1.16	1.14	1.14	0.92	Price/Fair Value
	-3.34	-48.58	142.49	34.01	37.00	-9.71	Total Return %

Morningstar Rating

Total Return % as of 07 Apr 2026. Last Close as of 07 Apr 2026. Fair Value as of 4 Mar 2026 02:09, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Project Glasswing Is a First Look at the Future of Cybersecurity in a World With Powerful AI Models

Analyst Note Malik Ahmed Khan, CFA, Senior Equity Analyst, 8 Apr 2026

On April 7, Anthropic announced Project Glasswing, its collaboration with security-focused vendors that aims to better prepare organizations as more advanced large language models, such as Claude Mythos, are released.

Why it matters: After a period of investor uncertainty about how cybersecurity firms would navigate the cyber landscape as more advanced LLMs were released by artificial intelligence labs, we see Project Glasswing as a nod to a hybrid future.

- This hybrid landscape will likely include LLM providers offering intelligence that will be operationalized by cyber firms using their proprietary telemetry data, cyber know-how, and extensive, large installed bases.
- We see this hybrid environment disproportionately benefiting large security firms like Palo Alto Networks and CrowdStrike, both of which are listed as founding partners of Project Glasswing.

The bottom line: We maintain our fair value estimates of $225 for wide-moat Palo Alto and $460 for wide-moat CrowdStrike. Palo Alto shares screen as cheap even after the postannouncement rally.

- Over time, we expect Project Glasswing and similar endeavors by other AI labs to include a larger list of cybersecurity vendors. The key takeaway for us is that cyber vendors are clearly viewed as partners, not competitors, by AI labs such as Anthropic, a dynamic we expect to continue.

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Sector
Technology

Industry
Software - Infrastructure

Business Description

CrowdStrike is a cloud-native cybersecurity company specializing in security verticals such as endpoint, cloud workload, identity, and security operations. CrowdStrike's primary offering is its Falcon platform, which provides enterprises with a unified view to detect and respond to security threats across their IT infrastructure. The Austin, Texas-based firm was founded in 2011 and went public in 2019.

- While larger vendors may benefit from these partnerships, we see smaller players including Qualys, Rapid7, and Tenable at risk as more firms seek to consolidate their spending with larger vendors that also have access to more capable LLMs and can produce better security solutions as a result.

Long view: As we wrote in our March 27 note on the Mythos news, as model capabilities continue to scale, we expect to see a market expansion for cybersecurity, with net new security spending aggregating to larger vendors that have the requisite scale and sophistication to deploy these models.

Business Strategy & Outlook Malik Ahmed Khan, CFA, Senior Equity Analyst, 4 Mar 2026

We view CrowdStrike as a leader in endpoint security, a critical part of the cybersecurity stack that protects an enterprise's endpoints (such as computers, laptops, tablets, phones) from nefarious activity. As enterprises continue their digital transformations and cloud migrations, we foresee endpoint security further gaining wallet share of an enterprise's security budget. Within this growing market, CrowdStrike has cemented its leadership position, and the stickiness of its Falcon platform remains clear in the firm's impressive retention metrics.

Beyond endpoint, CrowdStrike has significantly broadened its security portfolio, adding cloud security, identity security, security operations, and increasingly AI-native capabilities to its Falcon platform. Most notably, the platform has evolved into what CrowdStrike now positions as an Agentic Security Platform, integrating AI-powered detection, autonomous agents, and a unified data layer, reflecting how thoroughly the company has embedded itself into customers' broader security ecosystems, thereby reducing churn over time.

In an evolving landscape defined by rapidly accelerating threat complexity, including adversaries now weaponizing AI to speed up attacks, we see IT security teams seeking platforms that offer holistic coverage over point solutions that can inadvertently create data silos. This shift toward consolidation continues to benefit cybersecurity vendors like CrowdStrike that span multiple security verticals under a single platform. By unifying endpoint, cloud, identity, and security operations, CrowdStrike also alleviates its clients' growing toolset management burden.

We are encouraged by CrowdStrike's continued ability to attract and expand its customer base. After onboarding a customer, we typically see consistent movement along the upselling schedule, with customers adopting additional Falcon modules over time. We view this "land-and-expand" strategy as potent: by deepening platform adoption, the firm entrenches itself further within a client's IT ecosystem and raises switching costs over time.

Bulls Say Malik Ahmed Khan, CFA, Senior Equity Analyst, 4 Mar 2026

- CrowdStrike has strong secular tailwinds given that the endpoint, cloud, identity, and security operations markets are projected to grow rapidly

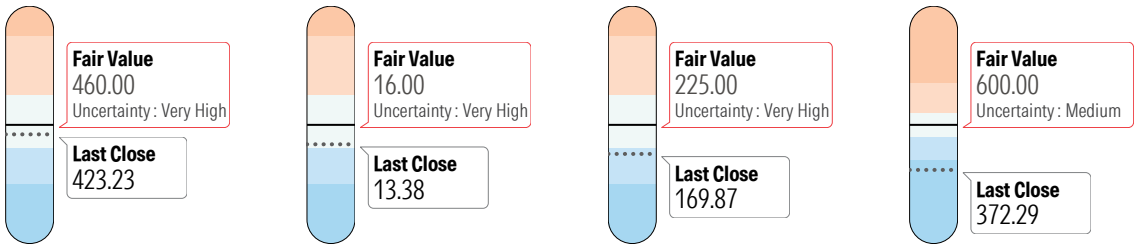
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Competitors



	CrowdStrike Holdings Inc Class A CRWD	SentinelOne Inc Class A S	Palo Alto Networks Inc PANW	Microsoft Corp MSFT
Economic Moat	Wide	None	Wide	Wide
Currency	USD	USD	USD	USD
Fair Value	460.00 4 Mar 2026 02:09, UTC	16.00 13 Mar 2026 01:56, UTC	225.00 20 Nov 2025 01:31, UTC	600.00 31 Jul 2025 03:51, UTC
1-Star Price	805.00	28.00	393.75	810.00
5-Star Price	230.00	8.00	112.50	420.00
Assessment	Fairly Valued 8 Apr 2026	Fairly Valued 8 Apr 2026	Undervalued 8 Apr 2026	Undervalued 8 Apr 2026
Morningstar Rating	★★★7 Apr 2026 21:47, UTC	★★★7 Apr 2026 21:47, UTC	★★★★7 Apr 2026 21:41, UTC	★★★★★7 Apr 2026 21:23, UTC
Analyst	Malik Ahmed Khan, Senior Equity Analyst	Malik Ahmed Khan, Senior Equity Analyst	Malik Ahmed Khan, Senior Equity Analyst	Dan Romanoff, Senior Equity Analyst
Capital Allocation	Exemplary	Standard	Exemplary	Exemplary
Price/Fair Value	0.92	0.84	0.75	0.62
Price/Sales	22.04	4.41	12.21	9.09
Price/Book	24.21	3.14	12.71	7.08
Price/Earning	—	—	91.72	23.57
Dividend Yield	0.00%	0.00%	0.00%	0.93%
Market Cap	107.52 Bil	4.59 Bil	140.94 Bil	2,779.64 Bil
52-Week Range	318.38—566.90	12.15—21.40	139.57—223.61	350.25—555.45
Investment Style	Large Growth	Small Blend	Large Growth	Large Blend

- CrowdStrike has market leadership in endpoint security and has high enterprise penetration within the space.
- The company stands to benefit as clients consolidate vendors and opt for a platform-based cybersecurity approach.

Bears Say Malik Ahmed Khan, CFA, Senior Equity Analyst, 4 Mar 2026

- Large public cloud vendors often offer their own cybersecurity solutions, which could hamper CrowdStrike's growth opportunities.
- CrowdStrike faces competition from vendors like Palo Alto that have increasingly made investments in the endpoint security space.
- There always remains a risk that CrowdStrike may miss out on the next big technology, thereby allowing its competitors to catch up.

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Economic Moat Malik Ahmed Khan, CFA, Senior Equity Analyst, 4 Mar 2026

We believe CrowdStrike merits a wide-moat rating owing to strong customer switching costs associated with Falcon, its cybersecurity platform. We view endpoint security as a vital component of any modern enterprise's IT security infrastructure and, according to our estimates, accounts for roughly a fifth of overall cybersecurity spending. Within the endpoint security space, CrowdStrike has cemented its position as a clear market leader. Additionally, we believe that the value of CrowdStrike's platform can be gleaned from the firm's impressive net retention metrics and strong customer growth. We also believe that CrowdStrike, like other endpoint security vendors, stands to benefit from secular tailwinds as enterprises continue to spend heavily on endpoint security. With increased adoption of endpoint security platforms, as enterprises migrate away from legacy antiviruses, and a sticky platform ensuring that the firm can land and expand its customers, we believe CrowdStrike is more than likely to generate excess returns over the next 20 years .

The primary market in which CrowdStrike competes is endpoint detection and response, or EDR. EDR's primary focus is on monitoring an enterprise's endpoints for nefarious cyberactivity. The evolution of EDR has also been aided by the structural change in how enterprises define their security perimeters. Historically, there has been a relatively contained picture of an enterprise's security infrastructure, think of a house with endpoint protection available at every entry point. However, this way of managing security is rapidly becoming obsolete. As more companies undergo digital transformations, the updated form of protection focuses on securing an enterprise from various attack vectors that did not previously exist, such as IoT instances and cloud workloads. Moreover, the complexity of the threat landscape continues to grow, with adversaries increasingly leveraging AI to accelerate and sophisticate attacks, further adding to the value that EDR vendors such as CrowdStrike provide to their customers.

CrowdStrike's primary product is its Falcon platform. The cloud-native solution consists of more than 30 modules with services ranging from threat intelligence, hunting, mitigation, and response. The attack surface that Falcon covers also extends well beyond endpoints, with the platform spanning cloud workloads, identity protection, and posture management among other modules. With pricing determined on a per-agent basis, Falcon allows clients to quickly scale up demand as their business grows, allowing CrowdStrike to maintain solid upselling velocity. Other than securing an enterprise's infrastructure, we believe Falcon can also improve labor productivity. By hunting, tracking, and neutralizing cyberthreats, CrowdStrike's platform enables IT security teams to free themselves of taxing threat detection and focus more on bigger-picture IT security issues.

In our view, the firm's entrenchment in its clients' IT security ecosystems creates high switching costs. We believe enterprises exhibit loss aversion when it comes to IT security, as there is an operational risk when switching EDR vendors, including loss of analytics during the changeover, project execution risk, and operational disruption. The more critical the function and the more touchpoints across an

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organization a vendor has, the higher the switching costs. We believe that any security-related data loss, disruption, or lapse is a material cost associated with switching vendors. We also do not think that enterprises nickel and dime their way to picking an EDR vendor. Typically, companies will select a vendor based on performance rather than price, provided that it has the features most relevant to them.

Customers that adopt security solutions do so to take uncertainty off the table, and switching vendors often brings that uncertainty back into play. CrowdStrike's gross retention has remained well above 95%, implying a customer lifetime of more than 20 years. At the same time, by upselling its customers into buying more Falcon modules and expanding agent deployment, CrowdStrike has maintained a net retention rate of more than 110%. We expect increased customer stickiness as the firm continues to expand its client base and set of solutions.

Along with high switching costs, we believe a network effect reinforces CrowdStrike's economic moat. Cybersecurity, in its essence, is a data problem, and attacks are now too overwhelming to be handled manually. In turn, vendors have developed AI solutions to automate processes and detect threats, especially novel zero-day attacks. However, AI and machine learning solutions are only as good as the data fed to them. This need for high-quality data is where we see entrenched platform vendors such as CrowdStrike having a distinct edge. For some context, CrowdStrike's AI-powered platform processes trillions of signals a day, giving it vast amounts of data to improve its own offerings and enhance its value proposition to new customers.

By collecting and analyzing this rich data flowing into its platform, CrowdStrike can uncover threats and new threat signatures that are then used to update its entire client base's security posture. This network effect is at CrowdStrike's core, with even the firm's name being a nod to its ability to collate massive amounts of security data to thwart nefarious activity across its client base. As more data comes in, the Falcon platform becomes better at detecting and mitigating cyberthreats. As a result, more customers onboard CrowdStrike due to its superior capabilities, which in turn leads to more data, and the flywheel spins faster. We see this network effect as reinforcing switching costs as well, with customers hesitant to leave CrowdStrike as doing so may entail losing access to its crowd-based threat intelligence capabilities.

Fair Value and Profit Drivers Malik Ahmed Khan, CFA, Senior Equity Analyst, 4 Mar 2026

Our fair value estimate for CrowdStrike is $460 per share, implying a fiscal 2027 enterprise value to sales multiple of 19 times.

We forecast CrowdStrike's revenue growing at a 22% compound annual growth rate over the next five years. We expect the firm to continually expand its client base while maintaining strong upselling performance with existing clients, as evidenced by the firm's stellar multi-module adoption rates. In our view, endpoint security remains a key area of enterprise security spend, and we expect it to remain

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important for clients in the coming years.

CrowdStrike's "land-and-expand" model has shown consistent success, with the firm able to reliably expand sales from existing customers by selling them additional modules, including security operations, cloud, identity, and, more recently, AI-native security tooling, or protecting more endpoints per customer. We expect this upselling velocity to persist as the ever-changing threat landscape, now intensified by adversaries leveraging AI, provides strong momentum for CrowdStrike's sales, and the firm continues to consolidate more security spending on its Falcon platform.

CrowdStrike's gross margins have expanded into the mid-70s range in recent periods. As the company continues to grow and software becomes a larger part of its top line, we expect further margin expansion on the gross margin front. We see this phenomenon across our coverage as software firms distribute their costs over an increasing revenue base, driving the cost of sales down as a fraction of sales. As a result, we are modeling GAAP gross margins to expand to around 80% over our 10-year explicit forecast.

CrowdStrike has spent heavily on research and sales in the past. However, as the company scales, we expect these line items to decrease as a percentage of sales. Having largely recovered from the margin pressure caused by the July 2024 outage, we expect the firm to reach GAAP profitability in fiscal 2027 and proceed to materially expand its margin profile as it seeks to balance growth with profitability. We continue to expect CrowdStrike's cash flow generation profile to remain strong, with free cash flow margins expanding beyond the 30% range over our explicit forecast period.

Risk and Uncertainty Malik Ahmed Khan, CFA, Senior Equity Analyst, 4 Mar 2026

We assign CrowdStrike a Very High Morningstar Uncertainty Rating due to the firm competing in the ever-shifting cybersecurity space.

While CrowdStrike has positioned itself well to benefit from secular tailwinds such as the ongoing shift toward AI-driven security and platform consolidation, the cybersecurity space is known for its rapid pace of development. With this in mind, large incumbents such as CrowdStrike, which have performed exceptionally well in particular verticals, stand to be disrupted by upstarts that could offer better performance in key modules. To stay ahead of the pack, CrowdStrike has invested heavily in expanding its Falcon platform into an AI-native, agentic security platform. However, a changing demand landscape coupled with newer products that affect CrowdStrike's competitive positioning remains a risk for the firm.

Much like other software firms, CrowdStrike invests heavily in its sales and research departments. Due to the high spending in these areas, the firm has not consistently been profitable on a GAAP basis. While we firmly believe in CrowdStrike's long-term opportunity, we think continued strong execution will be necessary to maintain its competitive position and justify its premium valuation.

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Regarding environmental, social, and governance, or ESG, risks, we do not foresee any material ESG issues. However, notable potential risks include attracting and retaining talent, which could demand high remuneration amid a persistent talent shortage in cybersecurity. Additionally, following the high-profile global IT outage in July 2024, operational resilience and reputational risk have become more prominent considerations. CrowdStrike's solutions are tasked with protecting customers from cyberattacks, making data privacy, security, and platform reliability key concerns.

Capital Allocation Malik Ahmed Khan, CFA, Senior Equity Analyst, 4 Mar 2026

We assign CrowdStrike an Exemplary Capital Allocation Rating based on its sound balance sheet, exceptional investments, and appropriate shareholder distributions.

CEO and board member George Kurtz co-founded CrowdStrike in 2011 with Dmitri Alperovitch and Gregg Marston, the latter two of whom are no longer with the company. Before starting CrowdStrike, Kurtz was the worldwide CTO, general manager, and EVP of enterprise at McAfee, and Alperovitch was the VP of threat research at McAfee.

We think CrowdStrike's balance sheet remains in solid shape. With a strong cash and liquid investments reserve and positive cash flow margins, we are not overly concerned by the firm's use of debt. Further, we think that the stickiness of the firm's product portfolio reduces downside risk in the event of an economic downturn.

CrowdStrike's investment strategy has been stellar in recent years. The firm's continued investments in its Falcon platform have enabled it to build a comprehensive, AI-native security platform spanning endpoint, cloud, identity, and security operations, and more recently extending into agentic AI capabilities. By investing in its products and the sales teams that bring them to market, CrowdStrike has been able to gain steady enterprise penetration while consistently upselling existing clients. Overall, we think CrowdStrike's investments position the firm well to reap rewards over the coming years as key end-markets remain top-of-mind for enterprise security buyers.

Since CrowdStrike has been aggressively expanding its business, the company does not pay its shareholders a dividend and has no plans to initiate one in the near term. We see this strategy as appropriate given the firm's potential growth prospects across cloud security, identity security, and AI-driven security operations.

Analyst Notes Archive

Anthropic's Mythos Model's Security Capabilities Are Going to Increase Demand for Cybersecurity
Malik Ahmed Khan, CFA,Senior Equity Analyst,27 Mar 2026

Anthropic confirmed the existence of an upcoming model after Fortune first reported plans for it on March 26. This new model, named either Mythos or Capybara, is reportedly much better than existing

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models at finding cyber vulnerabilities. This news sent our cyber coverage down 5% on average. Why it matters: We think that the market is misinterpreting the Mythos event. We think that Mythos-class exploits, that is, cyber-attacks developed by models as capable as Mythos, will expand the attack surface area and increase cybersecurity demand, not decrease it. We reiterate our view that cyber has a clear adversarial dynamic, with new tools driving usage by both defenders and attackers. This dynamic means that new models and their advancements make cyber solutions even more necessary. This dynamic is particularly true for vendors with platforms that have access to real-time data flowing through an organization. This entrenchment, data, and use of AI will drive greater adoption of these vendors' platforms, not less. The bottom line: We view this sell-off as an attractive opportunity for long-term investors to invest in platform vendors at a discount. We'd highlight wide-moat Palo Alto, Fortinet, Cloudflare, and CrowdStrike, as well as narrow-moat Zscaler, all of which trade below our fair value estimates. While we can see vulnerability management firms, like Qualys, Tenable, and Rapid7, face headwinds as their solutions can be displaced by LLMs, we think the market is extrapolating this risk and applying it to vendors that, in our view, are clear beneficiaries. As model capabilities continue to scale, we expect to see a material target addressable market, or TAM, expansion for cybersecurity, with the net new security spending aggregating to larger vendors that have the requisite scale, infrastructure, and sophistication to deploy these new AI modules.

Moat, Valuation, and Uncertainty Changes as We Reassess our Cybersecurity Coverage With AI in Mind Malik Ahmed Khan, CFA,Senior Equity Analyst,6 Mar 2026

Over the last few months, investors have become increasingly worried about the future of software economic moats as fears of software disintermediation driven by artificial intelligence have grown. Why it matters: We don't paint the entire software industry with one brush when it comes to AI. We believe that cybersecurity spending will likely benefit from increased AI deployments, as AI deployments increase the attack surface area. Further, we think the adversarial dynamic of AI, with AI-led improvements in security also enabling more complex threats to emerge, further supports our view that AI is a net-positive for security. We have conducted an in-depth review of the software and services firms covered throughout Morningstar and are changing moat ratings, fair value estimates, and increasing uncertainty ratings for a variety of companies. The bottom line: We upgrade our moat ratings to wide, from narrow, for two companies: CrowdStrike and Cloudflare. We downgrade our moat rating for Tenable to no-moat, from narrow. We did not change the moat ratings for the rest of our cybersecurity coverage. The changes to our fair value estimates are as follows: CrowdStrike $460 (from $410); Cloudflare $235 (from $200), and Tenable $23 (from $29). We raise our Morningstar Uncertainty Ratings for the following names to Very High from High previously: Palo Alto, Fortinet, Zscaler, CrowdStrike, and Gen Digital.

CrowdStrike Earnings: Widening Platform Continues to Gain Traction; Fair Value up to $460 From

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CrowdStrike Holdings Inc Class A CRWD ★★★ 7 Apr 2026 21:47, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
423.23 USD 7 Apr 2026	460.00 USD 4 Mar 2026 08:09, UTC	0.92	107.52 USD Bil 8 Apr 2026	Wide	Large Growth	Very High	Exemplary	7 Apr 2026 05:00, UTC

$410 Malik Ahmed Khan, CFA,Senior Equity Analyst,4 Mar 2026

CrowdStrike closed out fiscal 2026 with strong quarterly results, which included sales growing 23% to $1.3 billion and adjusted operating margins expanding 370 basis points to 25%. The firm's annual recurring revenue grew 24% to $5.25 billion, with net-new ARR rising 47% to $331 million. Why it matters: CrowdStrike's Flex program, a commitment-based spending model in which clients commit to an upfront dollar amount they'll spend with CrowdStrike and subsequently choose different modules to deploy those dollars, continues to spearhead ARR growth. With ARR from Flex customers growing more than 120% to $1.69 billion and more than 380 customers returning to CrowdStrike to "Re-Flex" or increase their dollar commitments, we see this program as a clear sign that customers want to consolidate spending with fewer security vendors. The Flex program, despite being conceived before the current market fears of seat-based pricing took hold, also insulates CrowdStrike's business from seat-based pressures, as the program's commitments are consumption-based. The bottom line: We are raising our fair value estimate for CrowdStrike to $460 from $410, upgrading our economic moat to wide from narrow, and increasing our Morningstar Uncertainty Rating to Very High from High. With shares trading flat after hours, we see them as attractive. Our moat rating upgrade is driven by our view that CrowdStrike stands to benefit from the adoption of artificial intelligence, and as AI-driven security threats proliferate, the firm should be able to achieve excess returns with near-certainty over the next decade. While our confidence in CrowdStrike's business and its ability to leverage AI to its advantage is high, we'd be remiss not to note the increased uncertainty AI inherently brings to software, with the range of future outcomes widening as AI adoption grows.

Anthropic's Claude Code Security Release Is Not Bad News for Cyber Companies Malik Ahmed Khan, CFA,Senior Equity Analyst,22 Feb 2026

On Feb. 20, Anthropic released a vulnerability-scanning tool aimed at security applications, leading to an average drawdown of over 5% across our cybersecurity coverage as investors worry that Anthropic and other artificial intelligence labs could replace cybersecurity functions within companies. Why it matters: Despite the tangible market impact of the product release, we don't see Anthropic's vulnerability scanning tool as a threat to our cybersecurity coverage due to the following reasons. One, there is a clear adversarial dynamic, as demonstrated by Anthropic's own post. Anthropic claims to have found more than 500 vulnerabilities in open-source codebases currently in production or in use. If Anthropic's Opus could find these vulnerabilities, a misaligned model with the aim of automating cyber attacks could also find them. This dynamic means that as large language models become more proficient at detecting threats, it benefits both attackers and defenders. Big picture: Since Anthropic's Claude sees so much code on its platform and has been trained on gigantic code bases, it has a good sense of which code is secure and which is not, a key factor in identifying vulnerabilities. As we move toward real-time cybersecurity applications, the dynamic will look very different. While LLMs can be

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trained on security methods and techniques, they simply don't have access to petabytes of real-time data gathered by large security vendors on a daily basis, and this data matters for training models for security applications. Long view: We see automated code scanning as evidence that we will move swiftly to a world where cyber vendors, leveraging powerful models such as Claude alongside proprietary real-time telemetry data, will capture a lion's share of net new security spending catalyzed by AI adoption.

You Cannot Vibe Code Security; We See Opportunities Floating in the Security Space Malik Ahmed Khan, CFA,Senior Equity Analyst,30 Jan 2026

Investors have become increasingly concerned about software valuations, and as they consider the possibility that artificial intelligence-driven software solutions will replace the incumbents in the software sector, the broader software sector is experiencing a material pullback. Why it matters: Software companies often trade on the promise of future growth. With AI-driven software deployment gaining momentum, investors are worried that the promise of future growth may be empty as companies replace external software vendors with internally developed AI-native solutions. While we disagree with this AI-driven displacement theory in general, we particularly disagree with the selling pressure it has created in the cybersecurity space. Put simply, no company is going to "vibe code" security products, as the risks far outweigh the rewards. We love discussing economic moats at Morningstar; it is our specialty. We urge investors to consider software switching costs, which are even higher in the cybersecurity subsector, before buying into the thesis that all software is being replaced by AI. The bottom line: We see this drawdown and any upcoming market volatility during an eventful earnings season as a buying opportunity for undervalued, moaty cybersecurity stocks in our coverage. We believe wide-moat Palo Alto (fair value: $225), wide-moat Fortinet (fair value: $108), and narrow-moat Zscaler (fair value: $300) are all attractively priced for investors seeking to gain cybersecurity exposure at a discount. We view narrow-moat-rated CrowdStrike as fairly valued (fair value: $410). Coming up: We believe market volatility around software will persist in the near term. We do, however, think that the market's view of security's exposure to this secular threat will turn as security firms report earnings over the next couple of quarters and show AI-driven tailwinds, not headwinds.

CrowdStrike Earnings: New Product Categories Still Spearheading Sales; Fair Value to $410 From $330 Malik Ahmed Khan, CFA,Senior Equity Analyst,3 Dec 2025

CrowdStrike reported strong third-quarter results, which include sales growth of 22% and adjusted operating margins of 21%. The firm's annual recurring revenue grew 23% to $4.92 billion, while net new ARR, a measure of new business landed by the firm, grew 73% to $265 million. Why it matters: CrowdStrike has aggressively leaned into the vendor consolidation trend, racking up material share gains in a fragmented security market as the firm has expanded beyond endpoint security. The firm's bundling discounts, offered through the Flex program, for customers seeking to consolidate spending

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on CrowdStrike have been quite successful, with ARR from these accounts growing more than 200% year over year to more than $1.35 billion. We attribute CrowdStrike's success in consolidating security spending to its broad platform that includes security operations, cloud, identity, and endpoint. Customers who have adopted more than eight CrowdStrike's modules grew 4 points to 24%, an endorsement of the firm's platform strategy. The bottom line: We are raising our fair value estimate for narrow-moat CrowdStrike to $410 from $330 as we recalibrate our medium- to long-term growth estimates upward. Our updated view on CrowdStrike's growth is informed not only by the success the firm has seen in selling a broader range of solutions, but also by the resilience of its core endpoint business, which reaccelerated this quarter. Despite our material fair value hike and our view of CrowdStrike as arguably the highest-quality security company under our coverage, we continue to view valuation for the name as stretched. Between the lines: The success of CrowdStrike's Flex program, which is based on customer spending commitments, is evident in the fact that more than 200 customers have renewed their Flex agreements despite the program being launched only two years ago.

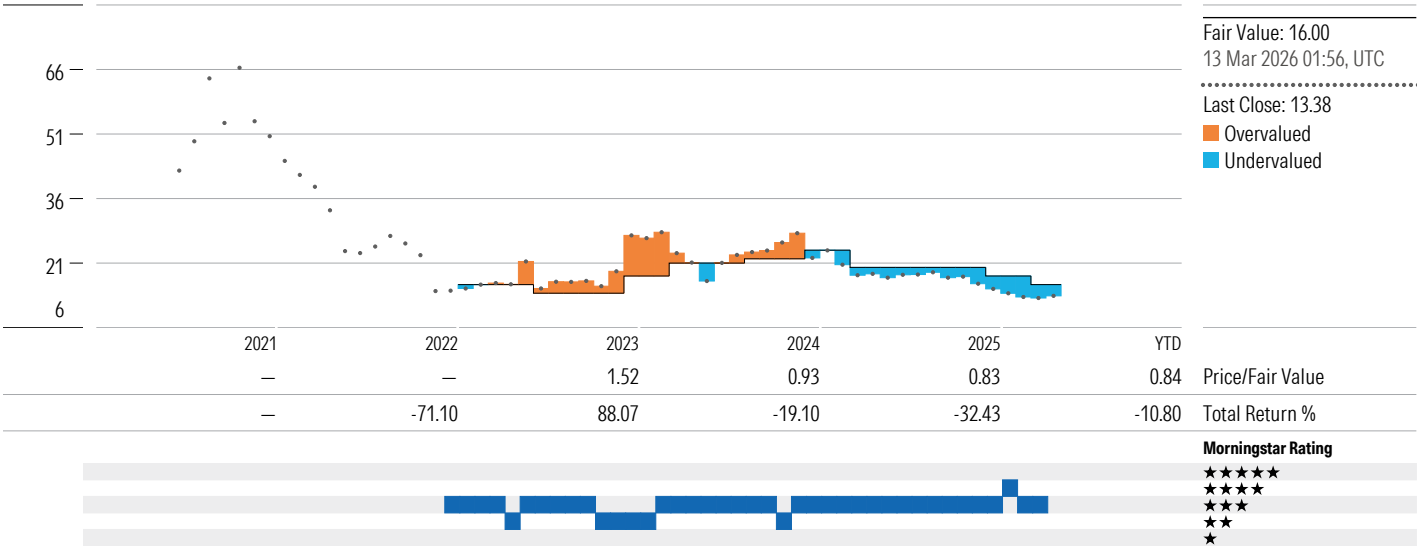
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Competitors Price vs. Fair Value

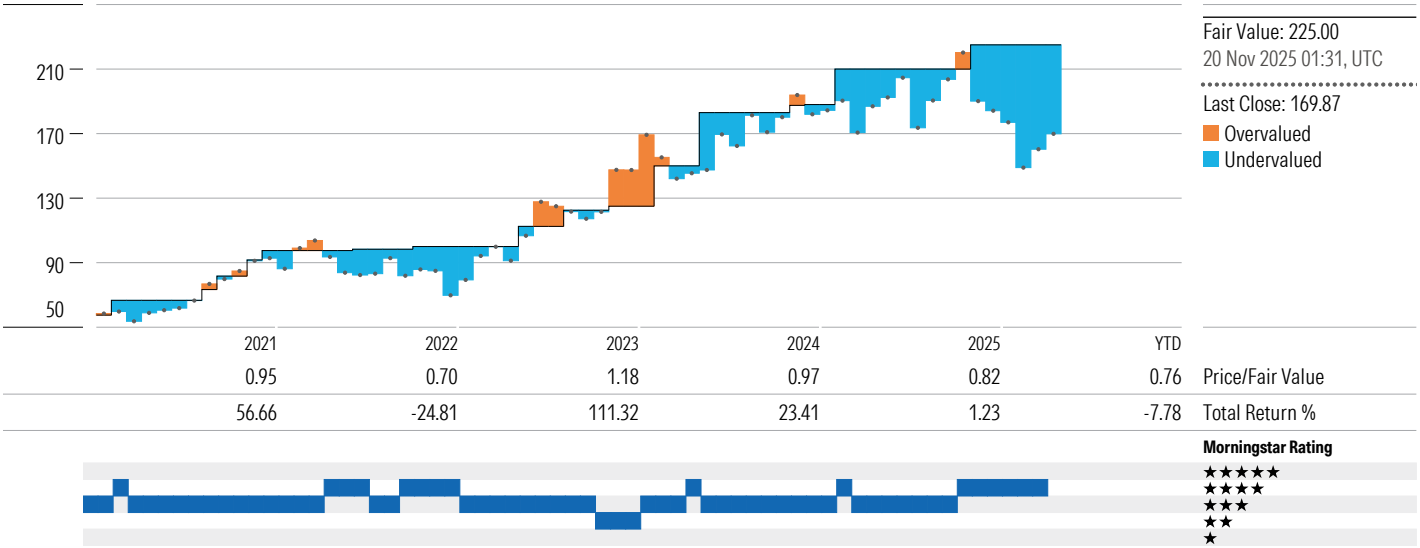
SentinelOne Inc Class A S



	2021	2022	2023	2024	2025	YTD	
Price/Fair Value	—	—	1.52	0.93	0.83	0.84	
Total Return %	—	-71.10	88.07	-19.10	-32.43	-10.80	

Total Return % as of 07 Apr 2026. Last Close as of 07 Apr 2026. Fair Value as of 13 Mar 2026 01:56, UTC.

Palo Alto Networks Inc PANW



	2021	2022	2023	2024	2025	YTD	
Price/Fair Value	0.95	0.70	1.18	0.97	0.82	0.76	
Total Return %	56.66	-24.81	111.32	23.41	1.23	-7.78	

Total Return % as of 07 Apr 2026. Last Close as of 07 Apr 2026. Fair Value as of 20 Nov 2025 01:31, UTC.

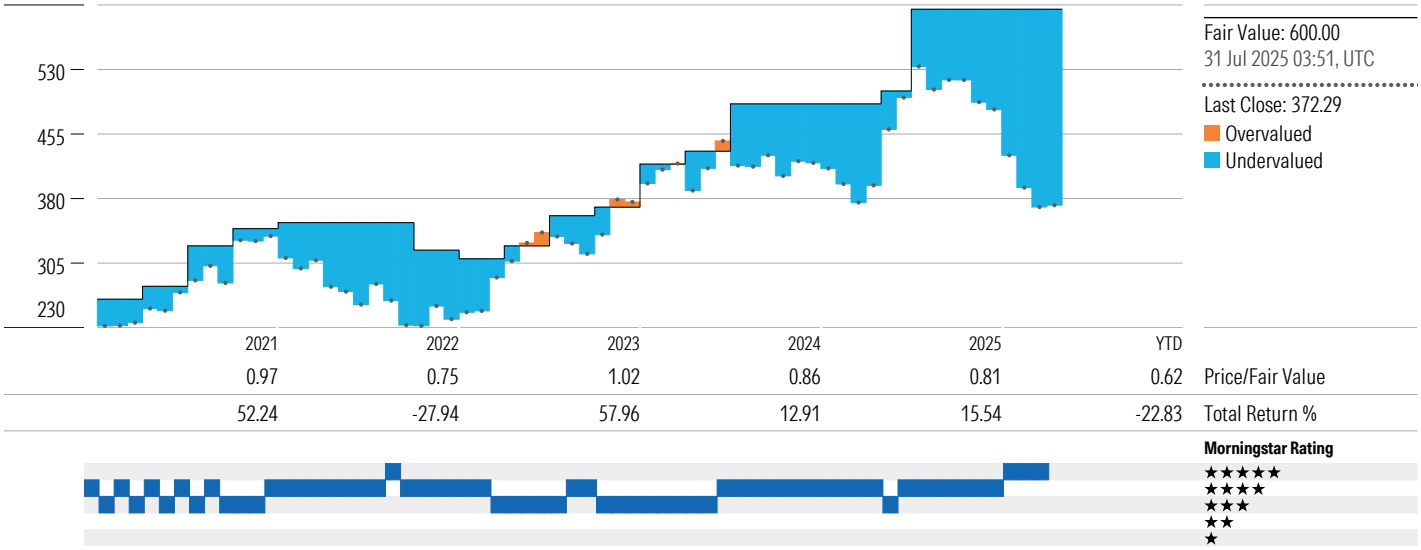
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Competitors Price vs. Fair Value

Microsoft Corp MSFT



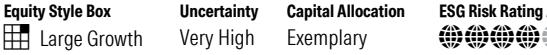
	2021	2022	2023	2024	2025	YTD	
	0.97	0.75	1.02	0.86	0.81	0.62	Price/Fair Value
	52.24	-27.94	57.96	12.91	15.54	-22.83	Total Return %

Total Return % as of 07 Apr 2026. Last Close as of 07 Apr 2026. Fair Value as of 31 Jul 2025 03:51, UTC.

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Morningstar Valuation Model Summary

Financials as of 03 Mar 2026

Fiscal Year, ends 31 Jan	Actual			Forecast				
	2024	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**
Revenue (USD Mil)	3,056	3,954	4,812	5,957	7,319	8,936	10,838	13,050
Operating Income (USD Mil)	-2	-120	-293	54	555	1,169	1,935	2,910
EBITDA (USD Mil)	294	295	182	600	1,144	1,815	2,679	3,766
Adjusted EBITDA (USD Mil)	294	295	182	600	1,144	1,815	2,679	3,766
Net Income (USD Mil)	91	-17	-161	150	600	1,087	1,652	2,422
Adjusted Net Income (USD Mil)	624	816	957	1,273	1,998	2,514	3,112	3,917
Free Cash Flow To The Firm (USD Mil)	319	191	178	621	1,150	1,788	2,476	3,441
Weighted Average Diluted Shares Outstanding (Mil)	244	245	251	258	258	258	258	258
Earnings Per Share (Diluted) (USD)	0.37	-0.07	-0.64	0.58	2.33	4.21	6.40	9.38
Adjusted Earnings Per Share (Diluted) (USD)	2.56	3.34	3.82	4.93	7.74	9.74	12.06	15.18
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

Margins & Returns as of 03 Mar 2026

		Actual			Forecast					
	3 Year Avg	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**	**5 Year Avg**
Operating Margin %	1.6	-0.1	-3.1	-6.1	0.9	7.6	13.1	17.9	22.3	14.4
EBITDA Margin %	—	9.6	7.5	3.8	10.1	15.6	20.3	24.7	28.9	—
Adjusted EBITDA Margin %	—	9.6	7.5	3.8	10.1	15.6	20.3	24.7	28.9	19.9
Net Margin %	-0.3	3.0	-0.4	-3.4	2.5	8.2	12.2	15.3	18.6	11.4
Adjusted Net Margin %	20.3	20.4	20.7	19.9	21.4	27.3	28.1	28.7	30.0	27.1
Free Cash Flow To The Firm Margin %	6.3	10.4	4.8	3.7	10.4	15.7	20.0	22.9	26.4	19.1

Growth & Ratios as of 03 Mar 2026

		Actual			Forecast					
	3 Year CAGR	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**	**5 Year CAGR**
Revenue Growth %	29.0	36.3	29.4	21.7	23.8	22.9	22.1	21.3	20.4	22.1
Operating Income Growth %	15.6	-99.0	5936.6	143.5	-118.5	925.6	110.6	65.6	50.3	—
EBITDA Growth %	-286.3	-821.0	0.3	-38.1	228.5	90.9	58.6	47.6	40.6	93.2
Adjusted EBITDA Growth %	-264.8	-821.0	0.3	-38.1	228.5	90.9	58.6	47.6	40.6	83.2
Earnings Per Share Growth %	-6.3	-147.6	-118.2	848.5	-190.6	299.3	81.0	52.1	46.6	—
Adjusted Earnings Per Share Growth %	-6.3	62.7	30.2	14.5	29.2	56.9	25.8	23.8	25.9	—

Valuation as of 03 Mar 2026

	Actual			Forecast				
	2024	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**
Price/Earning	114.3	119.2	115.6	85.8	54.7	43.5	35.1	27.9
Price/Sales	22.0	25.0	23.1	18.0	14.7	12.0	9.9	8.2
Price/Book	30.9	29.7	25.0	23.9	21.1	17.4	13.8	10.6
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	220.3	322.9	588.0	171.7	89.9	56.7	38.4	27.3
EV/EBIT	-32,361.1	-790.5	-365.8	1,901.5	185.4	88.1	53.2	35.4
Dividend Yield %	—	—	—	—	—	—	—	—
Dividend Payout %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 03 Mar 2026

Fiscal Year, ends 31 Jan	Actual			Forecast				
	2024	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**
ROA %	1.4	-0.2	-1.5	1.2	4.3	6.9	8.7	10.4
ROE %	3.9	-0.5	-3.6	3.3	11.6	17.3	20.9	23.4
ROIC %	30.1	24.1	17.8	18.3	20.5	23.1	26.0	29.6

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Jan	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**
Debt/Capital %	1.1	0.8	—	0.6	0.5	0.0	0.0	0.0
Assets/Equity	2.8	2.6	2.5	2.7	2.7	2.5	2.4	2.3
Net Debt/EBITDA	-9.1	-12.0	—	-8.4	-5.4	-4.4	-3.9	-3.7
Total Debt/EBITDA	2.7	2.7	—	1.2	0.7	0.0	0.0	0.0
EBITDA/ Net Interest Expense	11.4	11.2	6.5	19.8	37.9	—	—	—

Forecast Revisions as of 3 Mar 2026	2027		2028		2029	
Prior data as of 2 Dec 2025	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	460.00	406.09	—	—	—	—
Revenue (USD Mil)	5,957	4,811	7,319	6,002	8,936	7,388
Operating Income (USD Mil)	54	-330	555	-61	1,169	295
EBITDA (USD Mil)	600	118	1,144	416	1,815	811
Net Income (USD Mil)	1,273	953	1,998	1,476	2,514	1,781
Earnings Per Share (Diluted) (USD)	0.58	-0.89	2.33	0.31	4.21	1.42
Adjusted Earnings Per Share (Diluted) (USD)	4.93	3.86	7.74	5.98	9.74	7.21
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00

Key Valuation Drivers as of 03 Mar 2026

Cost of Equity %	9.0
Pre-Tax Cost of Debt %	5.8
Weighted Average Cost of Capital %	8.9
Long-Run Tax Rate %	21.0
Stage II EBI Growth Rate %	11.0
Stage II Investment Rate %	26.0
Perpetuity Year	20

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 03 Mar 2026

	USD Mil
Present Value Stage I	24,482
Present Value Stage II	31,487
Present Value Stage III	57,448
Total Firm Value	**113,416**
Cash and Equivalents	5,230
Debt	745
Other Adjustments	0
Equity Value	**117,901**
Projected Diluted Shares	258
Fair Value per Share (USD)	**460.00**

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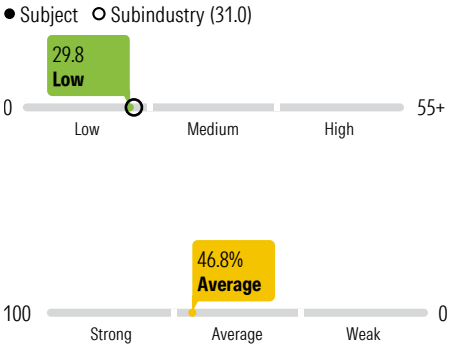
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CrowdStrike Holdings Inc Class A CRWD ★★★ 7 Apr 2026 21:47, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
423.23 USD 7 Apr 2026	460.00 USD 4 Mar 2026 08:09, UTC	0.92	107.52 USD Bil 8 Apr 2026	Wide	Large Growth	Very High	Exemplary	 7 Apr 2026 05:00, UTC

ESG Risk Rating Breakdown

Exposure	
Company Exposure[1]	29.8
– Manageable Risk	27.9
Unmanageable Risk[2]	**1.9**
Management	
Manageable Risk	27.9
– Managed Risk[3]	13.1
Management Gap[4]	**14.9**
Overall Unmanaged Risk	**16.7**



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 46.8% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of Apr 07, 2026. Highest Controversy Level is as of Apr 08, 2026. Sustainalytics Subindustry: Enterprise and Infrastructure Software. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 07 Apr 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
CrowdStrike Holdings Inc	29.8 | Low	0	55+	46.8 | Average	100	0	16.7 | Low	0	40+
Microsoft Corp	32.8 | Low	0	55+	60.3 | Strong	100	0	14.4 | Low	0	40+
Palo Alto Networks Inc	28.7 | Low	0	55+	63.7 | Strong	100	0	11.5 | Low	0	40+
Varonis Systems Inc	39.4 | Medium	0	55+	30.7 | Average	100	0	28.2 | Medium	0	40+
SentinelOne Inc	38.1 | Medium	0	55+	33.9 | Average	100	0	26.1 | Medium	0	40+

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Appendix

Historical Morningstar Rating

CrowdStrike Holdings Inc Class A CRWD 7 Apr 2026 21:47, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★	★★	★	★★	★★	★★	★★	★★★	★★	★★

SentinelOne Inc Class A S 7 Apr 2026 21:47, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
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Palo Alto Networks Inc PANW 7 Apr 2026 21:41, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★	★★★

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Microsoft Corp MSFT 7 Apr 2026 21:23, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★★	★★★	★★★★	★★★	★★★★	★★★	★★★★	★★★	★★★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

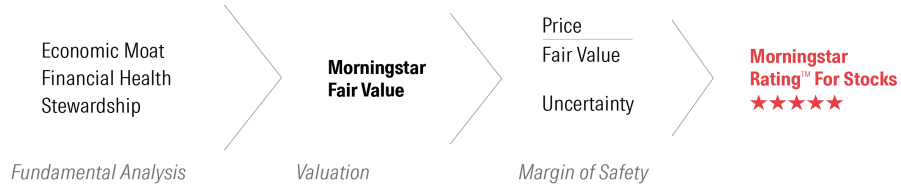
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

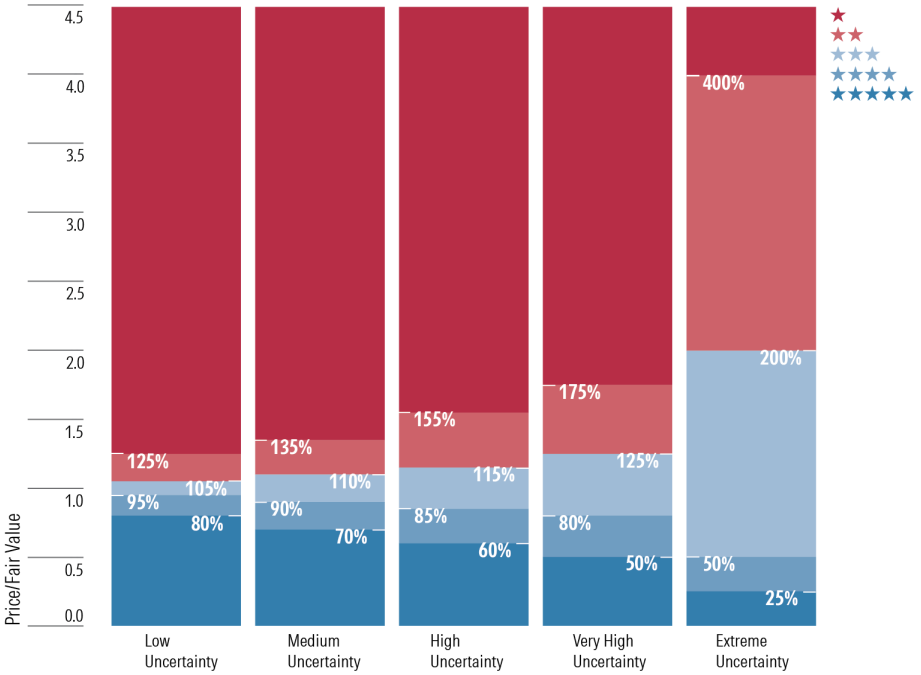
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

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The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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